



5.3 Structuring Your Responses

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How do I answer an Edexcel A level Business 4-mark question?

- 4-mark questions appear in Papers 1 and 2 only

Calculation questions

- In these questions, you are asked to carry out a calculation using the given data
- One mark is available for knowledge, with three marks available for application

Example

$$\text{Acid test} = \frac{\text{current assets} - \text{inventory}}{\text{current liabilities}} \quad \checkmark$$

Knowledge
= 1 mark

$$2014 = \frac{£1,429 - 852}{2,873} = 0.20 : 1 \quad \checkmark$$

Application
= 1 mark

$$2015 = \frac{£1,138 - 658}{2,273} = 0.21 : 1 \quad \checkmark$$

Application
= 1 mark

$$\text{Difference} = 0.21 - 0.20 = 0.01 \quad \checkmark$$

Application
= 1 mark

Explain questions

- In these questions, you are asked to explain a key term in relation to the context
- It could be an implication, a benefit or drawback, or the way a business concept can be applied to the given situation
- One mark is available for knowledge, two marks for application, and a further mark is available for analysis

Example



Your notes

Business failure can be the result of cash flow problems which the MG Rover Group is likely to have experienced as a result of its failure to produce new car models. Its sales revenue would have been limited as a result and this would have made its poor profit situation worse and leave little to be retained to fund future operations.

Knowledge
= 1 mark

Application
= 1 mark

Application
= 1 mark

Analysis
= 1 mark



How do I answer an Edexcel A level Business 8-mark question?

- These questions appear in Paper 3 only
- Two marks are available for knowledge, two for application, two for analysis and two for evaluation.

Suggested structure

- Key business skills are highlighted:

Knowledge

Application

Analysis

Evaluation

Step 1
- Start off with a definition of the key term in the question stem - This will secure some Level 1 knowledge marks and can help you focus your response
Flexible working is any working arrangement which allows the amount, timing or location of work to be varied for the mutual benefit of the individual and the business. Definition provides strong knowledge
Step 2
- In the next paragraph, you should start your analysis by making a strong point - Support it with some relevant context from the stimulus material - Quoting some data, including a calculation, or remarking on a key business feature or trend are good ways to do this - Develop a chain of reasoning that develops the point logically. The $X \rightarrow Y \rightarrow Z$ approach is a good way to build a coherent chain: - E.g. X leads to Y which results in Z or X and Y lead to Z - The best chains of analysis combine points effectively. For example:

- E.g. X_1 and X_2 lead to Y , which results in Z **or** X leads to Y_1 and/or Y_2 , which results in Z **or** X leads to Y , which results in Z_1 and/or Z_2



Your notes

Using part-time contracts means that The Wonky Table can **organise staffing to meet operational needs**. Restaurant bookings are often higher at weekends so part-time restaurant and kitchen staff hours could be concentrated at these times. The Wonky Table could avoid staff being underutilised during less busy times of the week and capable of delivering good customer service with ample staff at busier times.

Stating correct points shows knowledge

Some analysis, though not fully developed

Step 3

- In the next paragraph, you need to show balance by **providing a counterpoint**
 - Make a logical, relevant counterpoint. Make sure that it is relevant to the question
 - A further chain of XYZ reasoning, with context, is also required
 - This is particularly important in 8-mark questions, as a conclusion or recommendation is not required
 - Evaluation marks are, instead, awarded for effective balance



Your notes

Secondly, flexible working arrangements such as job rotation can be a useful way for The Vwonky Table to increase the range of skills of its staff. Kitchen staff may switch between the preparation of different dishes, whilst front-of-house staff may move between making bookings and serving diners. Equipping staff with a range of skills could improve flexibility, allowing staff to cover absent colleagues and provide the same level of customer service. However, not all tasks can be completed by non-specialists. Roles such as Head Chef require skill, experience and significant training to prepare high-quality dishes. In these cases flexible working is unlikely to make a difference and The Vwonky Table would need to have effective contingency plans in place to cover absence periods of key staff.

Correct point

Examples provide further knowledge

Another strong XYZ chain of analysis

Clear links to the context

Balance = both sides considered

Step 4

- Repeat steps two and three with a further point and counterpoint

Secondly, flexible working arrangements such as job rotation can be a useful way for The Vwonky Table to increase the range of skills of its staff. Kitchen staff may switch between the preparation of different dishes, whilst front-of-house staff may move between making bookings and serving diners. Equipping staff with a range of skills could improve flexibility, allowing staff to cover absent colleagues and provide the same level of customer service. However, not all tasks can be completed by non-specialists. Roles such as Head Chef require skill, experience and significant training to prepare high-quality dishes. In these cases flexible working is unlikely to make a difference and The Vwonky Table would need to have effective contingency plans in place to cover absence periods of key staff.

Correct point

Examples provide further knowledge

Another strong XYZ chain of analysis

Clear links to the context

Balance = both sides considered



How do I answer an Edexcel A level Business 10–mark question?

- These questions appear in all three exam papers
- Two marks are available for knowledge, two for application, three for analysis and three for evaluation.

Suggested structure

- Key business skills are highlighted

Knowledge

Application

Analysis

Evaluation

Step 1
▪ Start off with a definition of the key term in the question stem ▪ This will secure some Level 1 knowledge marks and can help you focus your response
Just-in-time involves stock arriving in warehouses immediately before distribution. A definition shows good knowledge
Step 2
▪ In the next paragraph, you should start your analysis by making a strong point ▪ Support it with some relevant context from the stimulus material ▪ Quoting some data, including a calculation, or remarking on a key business feature or trend are good ways to do this ▪ Develop a chain of reasoning that develops the point logically. The $X \rightarrow Y \rightarrow Z$ approach is a good way to build a coherent chain: ▪ E.g. X leads to Y which results in Z or X and Y lead to Z ▪ The best chains of analysis combine points effectively. For example:

- E.g. X_1 and X_2 lead to Y , which results in Z **or** X leads to Y_1 and/or Y_2 , which results in Z **or** X leads to Y , which results in Z_1 and/or Z_2



Your notes

After production, fashion items are promptly shipped to Zara stores across Europe. This means that items purchased from the brand have a level of exclusivity. Wearers of Zara clothes are unlikely to see them being worn by others, as is often the case with other brands. Zara can therefore charge a relatively high mark-up on its clothing. This helps to maximise Zara's profits, a key measure of success.

A clear, correct point

Several uses of the context in the paragraph

A strong XYZ chain of reasoning

Step 3

- In the next paragraph, you need to show balance by **providing a counterpoint**
 - Make a logical, relevant counterpoint
 - Make sure that it is relevant to the question stem
 - A further chain of XYZ reasoning, with context, is also required

However, selling very limited volumes of products may disappoint fashion-conscious customers. If clothing has been worn by a celebrity or features in fashion magazines it is likely to sell-out very quickly. Some customers may prefer to shop with rivals such as New Look whose stock levels are more predictable. As a result, Zara's sales may not be as high as they could otherwise be.

A clear, correct counterpoint

A well-contextualised chain of reasoning

Another strong XYZ chain of reasoning which provides balance

Step 4

- Repeat steps two and three with a further point and counterpoint



Your notes

Just-in-time minimises the value of stock held in storage. This can help to reduce Zara's insurance costs. Zara has suffered fires within its warehouses in recent years, so insurance costs may be quite high. Zara is also less likely to suffer supply chain disruption. Stock will be moving to stores rather than being held in a vulnerable central storage location. Loss of sales such as those suffered following the Barnsley fire in 2014 would therefore be unlikely.

A second, correct point

Effective use of context throughout this paragraph

Reasoning, though it could be linked more convincingly

Another correct counterpoint

However, stock that is 'on the move' will also need adequate protection. Careful monitoring of logistics will be vital and security will be important to avoid pilferage once the stock is in transit. If delivery delays occur, or if stock is missing, Zara stores may run out the most popular fashion items. This would be disastrous for its 'fast fashion' reputation, as well as for sales.

A much stronger XYZ chain, with well-chosen context

Step 5

In the final paragraph, you need to **make a supported judgement**

- This should be the **most developed section** of your response
 - Weigh up both of your arguments, considering their strength and relevance
 - A decision is required, along with the main reasons for your choice, such as:
 - Are there any context-specific reasons for your choice?
 - Do you have all of the information required?
 - Does your answer depend on any factors?
 - Might your decision be different in the long term?



Your notes

Overall, just-in-time has allowed Zara to stand out as a business that delivers the most up-to-date fashions before its rivals. It is a favourite of fashion journalists as the most on-trend items are sold in stores. This means that customers visit the website or shops much more frequently than those of other brands such as New Look. Its sales volumes are thus very high and the business is very profitable. It could be argued, though, that factors other than just-in-time have contributed to Zara's success. It operates on a very large scale across 50 countries. It is therefore likely to enjoy managerial and technical economies of scale. Although bulk buying economies are unlikely, it may have been able to develop very strong relationships with suppliers. All of this will minimise costs and help to ensure its success.

Some judgement

Contextualised reasoning
for the judgement

Balance now provided to
the judgement, showing
good knowledge, a chain
of reasoning and relevant
context



How do I answer an Edexcel A level Business 12-mark question?

- These questions appear in all three exam papers
- Two marks are available for knowledge, two for application, four for analysis and four for evaluation.

Suggested structure

- Key business skills are highlighted

Knowledge

Application

Analysis

Evaluation

Step 1	
- Start off by showing some knowledge; defining a key term or using a business concept is good way to do this - This will secure some Level 1 knowledge marks and can help you focus your response	
Traffic Light Lollies have low sales in a low-growth market. They could, therefore, be considered to be a 'dog' product in Bon Bons' product portfolio.	Defining the nature of the product shows knowledge
Step 2	
- In the next paragraph, you should start your analysis by making a strong point - Support it with some relevant context from the stimulus material - Quoting some data, including a calculation, or remarking on a key business feature or trend are good ways to do this - Develop a chain of reasoning that develops the point logically. The $X \rightarrow Y \rightarrow Z$ approach is a good way to build a coherent chain: - E.g. X leads to Y which results in Z or X and Y lead to Z - The best chains of analysis combine points effectively. For example:	

- E.g. X_1 and X_2 lead to Y , which results in Z **or** X leads to Y_1 and/or Y_2 , which results in Z **or** X leads to Y , which results in Z_1 and/or Z_2



Your notes

Bon Bon's may continue to sell Traffic Light lollies because a small number of customers continue to buy them. Sales in tourist attractions may be low. As long as they cover the costs of producing the lollies, Bon Bon's should continue to sell them as the revenue can contribute to covering fixed costs.

A clear starting point

Some context

Brief but effective reasoning

Step 3

- In the next paragraph, you need to show balance by **providing a counterpoint**
 - Make a logical, relevant counterpoint
 - Make sure that it is relevant to the question stem
 - A further chain of XYZ reasoning with context is also required

However, the space taken up by Traffic Light lollies on display stands may be better used. Popular products such as Candy Necklaces with potential for sales growth should use the space. Losing out on sales of more popular products because of a lack of display space would reduce cash inflows. Money spent on promoting these items would be wasted.

A relevant counterpoint with context

A clear chain of reasoning

Step 4

- Repeat steps two and three with a further point and counterpoint



Your notes

Traffic Light lollies may be a key part of Bon Bon's original product range and, therefore, an important part of its brand heritage. They may be an item that customers expect to see and removing them from the heritage sweets product portfolio may attract criticism. This may impact on Bon Bon's ability to persuade new giftshops to stock their products. These retailers could worry that other valued products may be withdrawn and purchase from alternative suppliers, reducing Bon Bons' revenue.

Another suitable point

Some context provided

A detailed chain of reasoning

However, Traffic Light Lollies may be especially popular as a low-price option within Bon Bons' range. Parents may buy affordable options for their children rather than spending large amounts on other Bon Bons products. Earning at least some revenue is better than nothing, as it could contribute to covering fixed costs, even if a profit isn't made.

Another relevant counterpoint

A chain of reasoning that is contextualised and demonstrates good understanding

Step 5

- In your final paragraph, you need to make a supported judgement
- This should be the most developed section of your response
- Weigh up both of your arguments, considering their strength and relevance
- A decision is required, along with the main reasons for your choice
 - Are there any context-specific reasons for your choice?
 - Do you have all of the information required to make a reliable recommendation?
 - Does your answer depend on any internal or external factors?
- Try to broaden your reflection by considering factors such as
 - Whether your decision would be different in the long term
 - The views of different stakeholders
 - The contribution your decision may make to achieving business aims and objectives.



Your notes

As long as they do not incur extra costs or take up production time here is little harm in continuing to sell Traffic Light Lollies and I recommend that they do so. There is a chance that the market for small treats may grow again. Retro products often move in and out of fashion and they may provide a cheaper option than the rest of the range, increasing the number of sales. However, if these perishable goods do sell in small volumes there is a chance that stockists are left with out-of-date stock which cannot be sold. These are likely to be returned to Bon Bons and refunds issued. This increases Bon Bons' costs. If this is a frequent occurrence Bon Bons may have little choice other than to withdraw the product, as is often the case with dog products.

Some judgement

Context supports the judgement

Weighing up points made in analysis

A detailed counter-argument with good context



How do I answer an Edexcel A level Business 20–mark question?

- These questions appear in all three exam papers
- Four marks are available for knowledge, four for application, six for analysis and six for evaluation
- These questions require you to make a recommendation between two choices or strategies
 - Your answer needs to weigh up both of the options presented, considering both benefits and drawbacks
 - Your recommendation needs to be wide-ranging and fully developed, considering reasons for your recommendation
 - You should also provide reasons why the alternative has been rejected

Suggested structure

- Key business skills are highlighted

Knowledge

Application

Analysis

Evaluation

Step 1

- Start off by defining the key terms in the question stem, likely to be the two options
 - This will secure some Level 1 knowledge marks and can help you focus your response



Your notes

Cost competitiveness and differentiation are strategies identified by Michael Porter. Cost competitiveness involves having the lowest costs amongst competitors. Differentiation involves being distinctive by standing out from rivals on quality, innovation, brand identity or customer service. By adopting one or the other of these strategies mass market businesses such as Cadbury's can avoid being 'stuck in the middle'.

Detailed knowledge, defining both of the key terms in the question

Showing strong understanding

Step 2

- In the next paragraph, you should start your analysis by making a strong point
 - Support it with some relevant context from the stimulus material
 - Quoting some data, including a calculation, or remarking on a key business feature or trend are good ways to do this
 - Develop a chain of reasoning that develops the point logically. The $X \rightarrow Y \rightarrow Z$ approach is a good way to build a coherent chain:
 - E.g. X leads to Y which results in Z or X and Y lead to Z
 - The best chains of analysis combine points effectively. For example:
 - E.g. X_1 and X_2 lead to Y, which results in Z or X leads to Y_1 and/or Y_2 , which results in Z or X leads to Y, which results in Z_1 and/or Z_2



Your notes

Cadbury's is a long-established British chocolate manufacturing business. Its brands include Dairy Milk and Crème Egg. These products target the mass market but are highly differentiated. Its brand names are highly-recognised, with some having existed for more than a hundred years. Packaging is distinctive and Cadbury's spends large amounts on promoting the products. It also innovates - products such as Oreo bars and Marvellous Creations have brought recent success. Continuing to differentiate on a global scale may therefore be the logical choice. Chocolate snacks could be adapted for different international markets. Cadbury's could use its expertise in branding and innovation to ensure products stand out from rivals'. This competitive advantage would reduce the risk of entering new markets.

Using the context to set the scene for this paragraph

Confident use of business key terms

Some judgement shown here

Strong chain of reasoning which develops the point effectively

Step 3

- In the next paragraph, make a second relevant point for the first option
- Again, ensure that you include some context from the stimulus material
- You need to develop a similarly complex and coherent chain of XYZ reasoning.

Additionally, Cadbury's has an excellent reputation for corporate social responsibility. The business was somewhat unique in providing housing for its factory workers in Birmingham. It also looked after them in retirement. More recently it has taken steps to make its products more healthy. It also demonstrates some commitment to implementing responsible supply chains. These unique features mean that Cadbury's is in a good position to emphasise its differences from other manufacturers. This, again, suggests that a differentiation strategy may be more appropriate.

Appropriate use of the business context

Less developed analysis but leads to a judgement

Step 4

- Now show balance by providing at least one counterargument for the first option

- Make a logical, relevant counterpoint
- Make sure that it remains relevant to the question stem
- A further chain of XYZ reasoning with context is also required



Your notes

However Cadburys only currently sells its products in forty markets worldwide. To achieve global competitive advantage it will be looking to enter new markets. In these new locations its range of chocolate products will lack the level of recognition they enjoy in existing markets. Cadbury's benevolence towards workers in 19th Century Britain are unlikely to be relevant. Its move away from Fairtrade has led to a loss of credibility in terms of social responsibility. Cadbury's brands will have to compete with established brands in new markets. It is unlikely to be able to differentiate through advertising and branding initially. Innovation may also be tricky, as these are markets with which it has no prior experience. Extensive market research and product testing will be required. As a British brand it may be able to emphasise the quality of its products. Decisions such as the switch from raisins to cheaper sultanas suggests that this may not be realistic.

A really well-developed chain of reasoning, with lots of context

Some more judgement shown here

Step 5

- You now need to move on to the second option
- Support a strong opening point with some relevant context from the stimulus material using the X→Y→Z approach



Your notes

Cost competitiveness may be a more suitable strategy to achieve global competitiveness. Cadbury's investment in 'state of the art' production facilities is expected to increase efficiency. Productivity may therefore be improved. As a result the costs involved in the manufacture of its products will be reduced. As well as this, Cadburys manufactures chocolate in ten different countries. There is a huge potential for economies of scale. Ingredients such as cocoa and sultanas can be purchased in vast quantities, minimising variable costs.

Clear knowledge

A really well-developed chain of reasoning, with lots of context

Step 6

- Make a second relevant point for the second option
- You may choose to use business theories or models to support your analysis

Mondelēz has also taken steps to reduce unnecessary costs such as giving gifts of chocolates to former workers at Christmas. Again, this will help to marginally reduce costs. Operating with low costs gives Cadbury's choices when it enters further markets overseas. Most notably it could sell its products at low prices and still make a profit. This could help it to gain market share in countries that have existing domestic competition.

Another strong chain of analysis

Step 7

- Again, show balance by providing at least one counterargument for the second option
- Make a logical, relevant counterpoint
- Make sure that it remains relevant to the question stem
- Some reference to what the business wants to achieve in making the choice is a useful way to do this



Your notes

However, there is a risk that cost minimisation could risk much of the goodwill felt by existing customers. When Mondelēz made slight changes to the size and ingredients of Crème Eggs, for example, Cadbury's received negative media attention. They may not look kindly on further cost-cutting measures. Outsourcing production to locations such as Poland is less cost-effective than it was. This is because the UK has left the EU, meaning Cadburys now needs to pay tariffs to import its own goods back to its main market in the UK. This will increase its costs and negate savings made elsewhere, which certainly doesn't support a strategy of cost minimisation.

An informed paragraph, drawing external factors into a strong chain of reasoning

Step 8

- In your final paragraphs, you need to make a **supported judgement**
 - This should be the **most developed section** of your response
 - Weigh up both of your arguments, considering their strength and relevance
 - Compare them directly, considering which might be most effective in meeting business objectives
 - A decision is required, along with the main reasons for your choice
 - Are there any context-specific reasons for your choice?
 - Do you have all of the information required to make a reliable recommendation?
 - Does your answer depend on any internal or external factors?
 - Try to **broaden your reflection** by considering factors such as whether your decision would be different in the long term, the views of different stakeholders, or the contribution your decision may make to achieving business aims and objectives
- The **MOPS approach** can be a useful way to frame your concluding paragraph
 - Consider the **market** in which the business is operating, its **objectives**, the **product** it offers, and **the situation** in which it finds itself
 - Are any of these factors of particular importance to the decision?
 - This approach encourages you to include further contextual information and can make the difference between low-level and high-level responses.



Your notes

Overall the most appropriate strategy for Cadbury's would be differentiation. This is the strategy with which it has enjoyed success since it launched Dairy Milk in 1905. It will need to invest in extensive market research to ensure that it meets customer expectations in new global markets. These will probably differ significantly from the markets in which it currently sells its products. The 'British' label retains popularity around the world. It is associated with tradition and quality. Cadburys can make good use of this in its promotional activity. It may need to adapt products to appeal to different tastes but its good track record for innovation means that this should be achievable.

A clear decision opens the conclusion

Cost competitiveness would be less appropriate for a business with such a positive reputation. It has already experienced negative press as a result of modest attempts to reduce costs. Competing with the very low costs of manufacture in developing countries such as Brazil and India will be difficult. It may have to make very severe changes to products to do so. This could have an effect on its reputation in established markets.

Reasons given for judgement, using context

Finally, the business is taking important steps to reduce costs. It is investing £75m in its Birmingham factory. There's no reason that this should not improve the quality, packaging and design of its products. If it makes similar efforts in its nine other factories products will continue to be differentiated. They will also be produced more efficiently. Cadbury's would have the best of both worlds. Reducing costs whilst pursuing the strategy on which it has achieved long-term success. This is not being 'stuck in the middle'; rather it makes good business sense.

Clear reasoning suggests why the alternative is less suitable

Some MOPS - situation - considered here

Refers back to the key concept